

Article | 29 July 2026

FX RATES UNITED STATES

Fed holds rates steady as three FOMC members dissent

In what was seen as the closest Fed decision for a number of years, officials opted to keep monetary policy unchanged. Markets still think the Fed will tighten policy at some point, but with two inflation prints and two job reports ahead of the September FOMC meeting, nothing is guaranteed. We still think the Fed will end up holding policy steady well into 2027



Fed Chair Warsh announcing that rates remain on hold despite three dissenting votes

Fed holds policy rate at 3-1/2 to 3-3/4 percent

The Federal Reserve has left monetary policy unchanged, maintaining the target range for the federal funds rate at 3-1/2 to 3-3/4 percent. There were three dissenters, with Beth Hammack (Cleveland Fed), Neel Kashkari (Minneapolis Fed) and Lorrie Logan (Dallas Fed) voting for an immediate 25bp rate hike. Remember they were the three that wanted the Fed to drop its “easing bias” at the April FOMC meeting. Going into today’s meeting, markets were pricing a slightly greater than one-third chance of a 25bp hike, while the Bloomberg survey suggested only 2 out of 104 economists polled expected a hike. The immediate market reaction has been a curve steepening with 2Y yields down modestly and the 10Y yield up fractionally while the dollar has softened a touch. Fed funds futures for September, which had been pricing a

cumulative 26bp of rate hikes ahead of the decision, are now pricing 18bp.

As was the case last month, the accompanying statement was much briefer than what was published when Jerome Powell was at the helm, coming in at around half of the 320 words averaged at the last couple of Powell-led meetings. There was nothing new there with the acknowledgement of "solid" activity and "elevated" inflation with a commitment to price stability. In terms of the press conference, Kevin Warsh mentioned that he got the "good family fight" he wanted to see, but in the end, the committee opted for stability by a "large majority." He acknowledged higher nominal and real bond yields, which could perhaps be interpreted as implying the market may have done some of the work for them. Nonetheless, if inflation doesn't cool, Fed rate hikes could be part of the solution – "we will not hesitate to act".

Why they could have hiked, and why they didn't

Today's decision was the closest call for a number of years. The rationale for a hike today can be summarised as the Fed have missed the inflation target for five years and while some progress has been made, elevated oil prices in an environment of a tight jobs market means inflation may stay higher for longer. The median dot plot from the June summary of economic projections had one hike for 2026 and with the market fully discounting a 25bp move before year-end, the question would be, why wait? Moreover, it could be seen as a statement of intent under a new Fed Chair that confirms the Fed's commitment to price stability and helps to anchor the long end of the Treasury yield curve.

The arguments against, and why we expected a no change outcome, were that having voted to keep rates on hold in June, the data flow since then certainly didn't strengthen the case for a hike. Consumer confidence is weak, June jobs came in at less than half what was expected with substantial downward revisions to the previous two months, and inflation data was certainly more benign than anticipated with headline prices falling 0.4% month-on-month and core inflation flat on the month. Financial conditions had tightened with the 10Y Treasury yield 15bp higher, the dollar 0.5pp stronger on a trade-weighted basis and the S&P500 1% lower with the NASDAQ down 5.5%. Nine FOMC members may well think a rate hike will be needed this year, but of those nine there is a strong suspicion that five or even six are non-voters this year. Moreover, nine others think they won't need to raise rates and that is indeed how they voted today.

Will they hike in September?

Markets ahead of today had been fully pricing a September rate hike, but again, there is a significant divergence between the market's view and economists, who in aggregate expect stable policy to continue. We are in the camp that think the Fed will hold, but it is going to be close. Our thought process is that there are two inflation prints and two job reports between now and the 16 September FOMC meeting. Hiring surveys remain weak and there is scope for an unwind of World Cup hiring. Furthermore, the low unemployment rate has been held down

by a sharp drop in the participation rate. This could indicate firms are cutting costs by encouraging early retirement. That said, even in the “prime” 25-54 age group, the participation rate has dropped 0.7pp since January. The jobs market is not as robust as the unemployment rate alone suggests.

Labour market participation rates (%)



Source: Macrobond, ING

Regarding inflation, oil prices have risen, but importantly, gasoline prices did not fall as much as they perhaps should have done when oil was below \$70/bbl a couple of weeks ago. In fact, oil prices today of \$85/bbl are broadly consistent with the current retail gasoline price of \$4.10/gallon. Given the proximity to the mid-term elections, we continue to expect President Trump to push for a deal with Iran that allows a re-opening of the Strait of Hormuz, delivering lower fuel costs for an electorate that is under some financial pressure.

We should also remember that shelter holds the largest weighting within the inflation basket. With house prices barely rising 1% year-on-year and growing evidence from private sector data providers that rents have cooled considerably, this implies that the housing components can contribute to ongoing disinflation. Thirdly, there are the \$166bn of IEEPA 'Liberation Day' tariff refunds that are providing a significant cash flow boost to corporate America, that should mitigate the threat of higher prices. Then finally, the biggest cost input for corporate America is not tariffs, energy, or semi-conductors. It is instead the cost of workers and wage growth is slowing meaningfully, with Friday's Employment Cost Index expected to show labour costs rising merely 0.8% quarter-on-quarter.

If we are right, and we do see further evidence of disinflation and cooler jobs data, then we expect to see the market pricing of rate hikes moderate. That could culminate in the Fed leaving the policy rate unchanged for a prolonged period rather than hiking once and then cutting again in 2027 as they are currently projecting within their summary of economic projections.

Neutral/hawkish hold curbs dollar enthusiasm

The FX market, perhaps more than any other class, had been shifting towards a hike today and keeping the dollar broadly bid. The decision itself has seen the dollar a little weaker, largely in line with what had been priced into the FX options market, and the dollar sold off a little more in the press conference. Today's events will be a disappointment for those who felt Kevin Warsh could have flexed his hawkish muscles and left the FX market back to trading US data and what volatile oil prices mean for monetary policy.

In fixed income, we have seen some bullish steepening of the curve, 8bp off the short-end and only 2bp off the long end – especially as some were expecting a hike today to support the long-end. Break-even inflation rates from the 5Y5Y inflation swap have understandably nudged 4bp higher, and gold and silver have seen 2-3% rallies on the view that the Fed may not, after all, back up its inflation-fighting rhetoric with action. And perhaps worryingly for the Fed, the 30-year Treasury yield has risen 7-8bp.

For FX, the reaction at the long-end of the bond market is partially reversing the narrative of a tough Fed assuaging concerns about the dollar de-basement trade. EUR/USD probably needs to trade more in a 1.14-15 range now, but a more sustainable rebound requires a sustained period of lower oil prices and US jobs and price data convincing the markets and the Fed that a September rate hike is no longer required. This is especially so given Warsh's strong pitch today that the message from the markets has become more direct – and the current message is that the Fed will hike in September.

Overall, today's press conference can add to the sneaking suspicion that the Fed will talk tough but won't hike and the market conviction over a September rate hike may well come under pressure.

Author

James Knightley

Chief International Economist, US
james.knightley@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the

publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 28 July 2026

JAPAN

Bank of Japan preview: The slow path to higher rates

The Bank of Japan is expected to keep rates unchanged on 31 July after last month's 25bp hike to 1.00%. While some see scope for a faster tightening cycle and an October hike, we doubt any modest hawkish shift will materially boost the yen or alter the USD/JPY outlook



Bank of Japan Governor Kazuo Ueda is expected to rejoin this week's policy meeting after a recent illness

Most agree that rates need to be higher

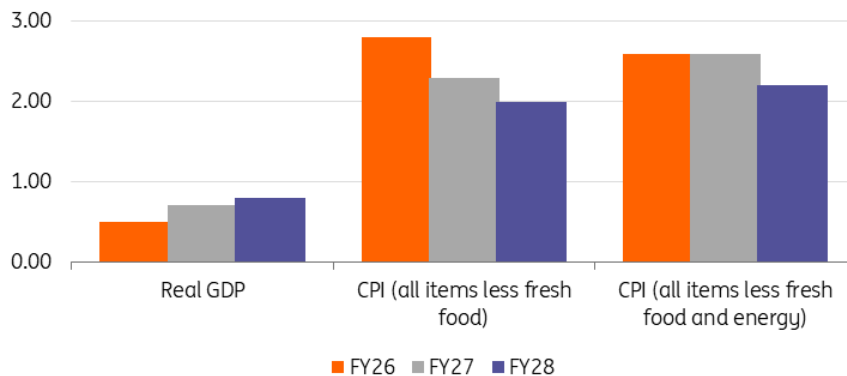
When raising the policy rate to 1.00% last month, the BoJ retained its tightening bias and concluded that a further removal of monetary accommodation would be required. As always, the timing of such an adjustment would depend on developments in economic activity, prices, and financial conditions.

Since that meeting in mid-June, the BoJ has seen strong retail sales figures and, perhaps most importantly, a buoyant Tankan business survey for the second quarter. Here, business optimism has returned to levels last seen in 2018 and likely provides comfort to the BoJ's view that the virtuous cycle between company profits, higher wages, consumption and prices is ongoing.

While the BoJ does acknowledge downside risks to growth from the Middle East conflict and

higher energy prices, most expect it to stick to the script that higher demand from the global AI capex build-out continues to support global demand. This probably means there will not be too many changes to the BoJ's forecast for modest GDP increases when it publishes its latest Outlook Report on Friday.

BoJ Outlook Report April 2026 forecasts



Source: Bank of Japan

What about inflation?

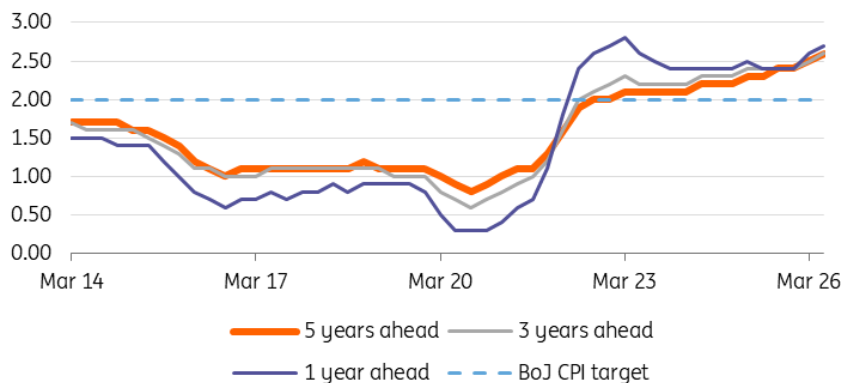
Excluding fresh food, energy and institutional factors, Japanese CPI has dropped from a peak of 3.6% YoY last summer to a low of 2.1% in May. In addition to previous government measures to lower the cost of living, such as a consumption tax cut and lowering the cost of education, July to September this year will see the government providing subsidies for electricity and gas bills to offset the energy shock.

Again, no major changes are expected in the BoJ's forecasts for inflation over the coming years, which continue to point to stable inflation near 2.0% over the longer term.

That said, the BoJ has noted the risk of business-to-business inflation spreading through the economy and should have taken notice of inflation expectations sourced through the Tankan survey. Here, All Enterprises see inflation at 2.6% YoY five years ahead – firmly above the BoJ's 2% target.

The BoJ will also be well aware of import prices running at 30% YoY in June (highest since 2022) and the yen at the weakest levels since the 1980s.

Tankan All Enterprises Inflation Expectations July 26



Source: Bank of Japan

The decision

Weakness in the yen after the (not unsurprising) ineffectiveness of the BoJ's FX intervention in April/May this year has led some to speculate that the BoJ will accelerate its tightening cycle. Many of the BoJ board believe that Japan's neutral policy rate is closer to 2.00% and it's just a question of how quickly it is taken there.

Recent source reports suggest some BoJ members could favour the next hike as early as September or October as opposed to the gradual six-monthly schedule of the next hike coming in December.

Arguments for the faster hike also seem to be coming from the bond market, where the two-to-10 year JGB curve has steepened beyond the highs seen in 2010, which some are attributing to the BoJ being behind the curve.

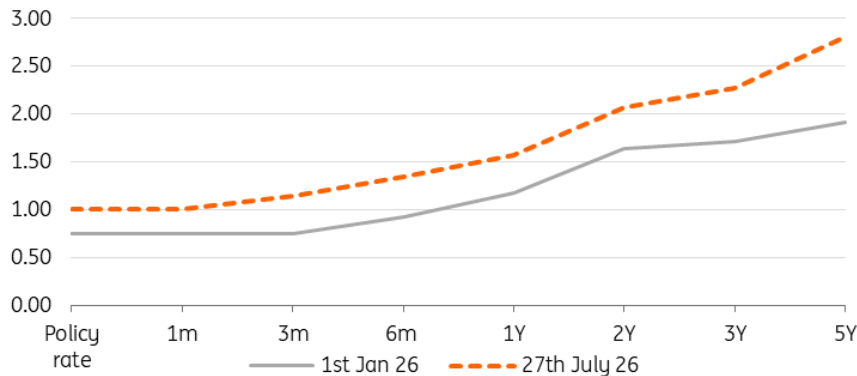
However, the BoJ will find some solace from Break-Even-Inflation (BEI) rates, where Japanese 10-year rates have recently pulled back to 2.00% and point to investors taking the view that the BoJ has inflation under control.

As to the decision, anything other than an unchanged 1.00% policy rate would be a surprise. There could be some interest in the voting patterns. Governor Kazuo Ueda is expected to return after a recent illness, bringing the Policy Board back to nine. The focus will be on whether any of the board members will vote for back-to-back hikes. Kajime Nakata did so in January this year and could be a candidate to do so again this week. A bigger surprise would be whether the other two hawks, Junko Nakagawa and Naoki Tamura, join him.

Governor Ueda's press conference will be of interest, but unless he hints about the need for a faster tightening cycle, markets look unlikely to react. Remember that representatives of the Cabinet Office attend these meetings and BoJ minutes reflect their views that Japan's

‘transition to a growth-oriented economy is crucial’. Understandably, investors see the BoJ exposed to more government oversight on monetary policy than many in their G10 central banking peer group.

Latest expectations for the BoJ policy path



Source: Refinitiv, ING

Market implications

Energy prices and the Fed reaction function look to be the bigger driver of USD/JPY over the coming months, rather than a potentially more hawkish BoJ. And Wednesday's FOMC meeting will have a big say here. Barring a surprisingly dovish Fed meeting, or a sudden drop in Brent back to \$70/bl, we expect to stay bid near 163/164 into the BoJ meeting.

There is an outside risk of USD/JPY making a run at 165 if Governor Ueda is insufficiently hawkish in his press conference, but the risk of FX intervention remains. Here the BoJ spent \$70bn in late April/early May and has remaining FX reserves of \$1.09 trillion. Without doubt, Japanese authorities would prefer to sell USD/JPY into a falling market for greater effectiveness, but likely would be called into action should the 165 area be challenged.

As to the longer-term outlook for USD/JPY, we have a year-end forecast at 158 on a baseline view that the Fed does not hike.

There is also speculation that the Japanese government is looking at measures to support the yen by encouraging Japanese investors to keep more money at home.

Changes in portfolio allocation policy for Japan's GPIF pension fund look hard to make. But any concrete adjustments to products like Japan's New ISA (NISA) to allow investors to hold more domestic assets, like JGBs, would be a big deal. This comes after 2024 NISA reforms opened up global equity markets to retail Japan and weighed on the yen.

JBGs view any hold as no more than a brief pause, with long rates at 4%

The 5yr Japanese Government Bond (JGB) yield prints at 2%, a level we view as the medium-term target for the Bank of Japan policy rate. The 2yr yield prints at 1.5%, which in fact is quite tame, at just 50bp over the policy rate. The forwards pitch the policy rate at 2% two years forward. What we glean from this is an upside expectation for the BoJ policy rate, but at a relatively slow rate. We link this to angst showing up in both the JPY and longer tenor JGB yields.

The 10yr yield at 2.7% discounts a material expectation for an eventual normalisation in the BoJ rate. The 5/10yr segment, at 70bp, is in turn relatively steep. There is a degree of pain being felt by long tenor yields, linked back to quite a slow rate hike build from the BoJ. We can see the same in the 30yr and 40yr yields which are pitched in the 4% area. Remarkably, that's where the US 30yr yield was just two years ago.

So the carry spread (policy rate vs 2yr yield) is relatively tame, while the full curve shape is quite steep. We identify a tension between these two outcomes, as it points to a low expectation of significant hikes in the coming quarters (carry spread). At the same time, the steepness of the curve points to the BoJ being behind the curve, and not protecting the back end enough.

Should the BoJ indeed hold and stall, then expect longer tenor yields to remain elevated with upside pressures. Finally, we deploy Tona in our rates pressure model for the BoJ, where we identify ongoing pressures for hikes. See it [here](#).

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas
padhraic.garvey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or

THINK economic and financial analysis

misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 23 July 2026

FX

Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end



We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

Not driven by a UK re-rating

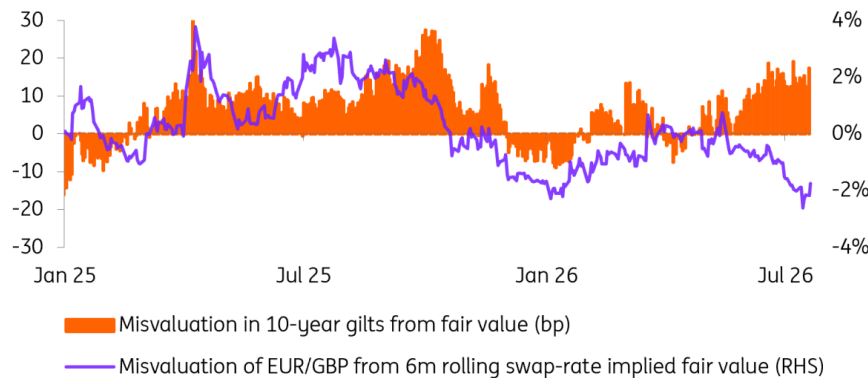
Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP

traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

Risk premium remains in gilts, not sterling



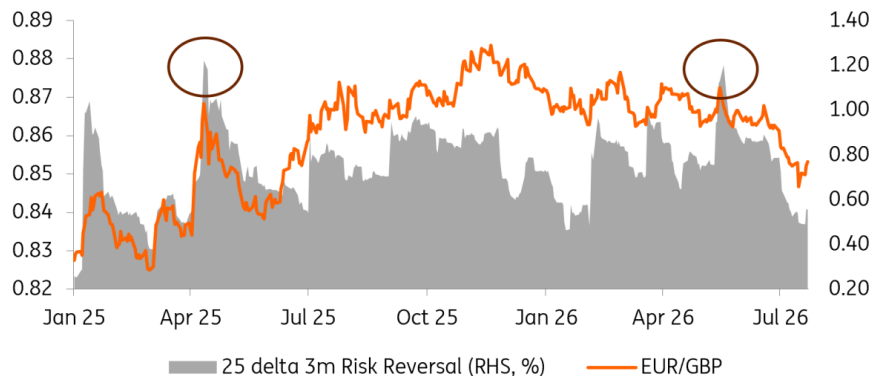
Source: ING, Refinitiv

Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

EUR/GBP versus three month risk reversal



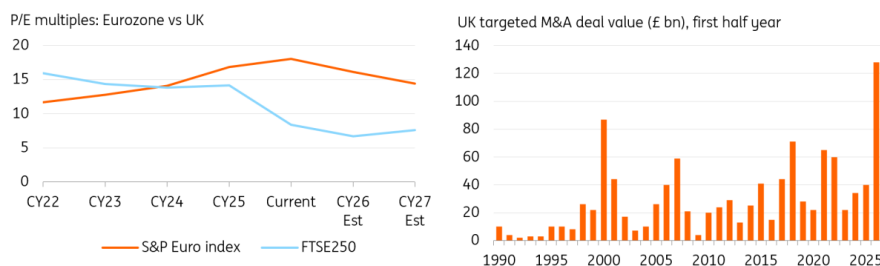
Source: Refinitiv, ING

The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

UK versus eurozone P/E multiples and UK M&A inflows

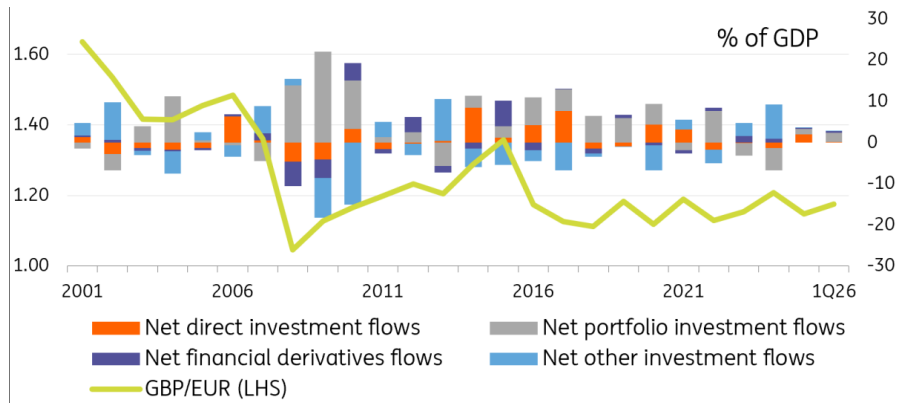


Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

UK net investment and portfolio flows versus GBP/EUR



Source: UK Office for National Statistics, Refinitiv

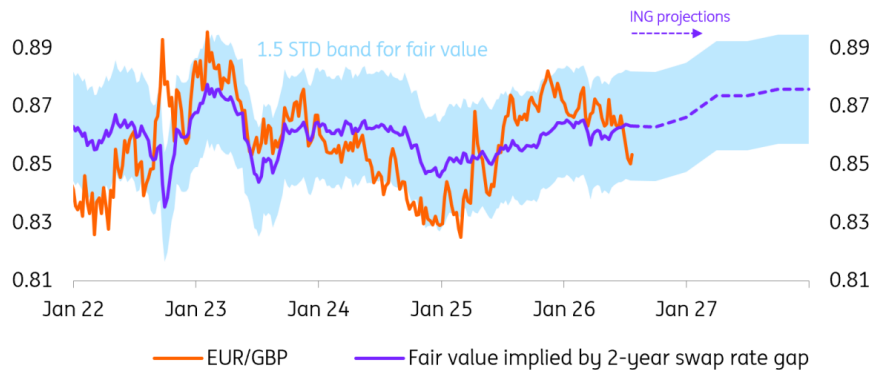
The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

Short-term rate differential is the medium-term anchor for EUR/GBP



Source: ING, Refinitiv

Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

ING's forecasts for GBP

	2026		2027			
	Q3	Q4	Q1	Q2	Q3	Q4
EUR/GBP	0.87	0.88	0.89	0.90	0.90	0.90
GBP/USD	1.34	1.34	1.33	1.33	1.34	1.36

Source: ING

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to

purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 22 July 2026

TRADE UNITED STATES

A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines



The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to “cut off all trade with Spain, including visits”, describing the country as “a terrible partner in NATO” that neither contributes nor pays its fair share. Why does this mainly fall under the label ‘theatre’? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting “Spanish” goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly \$26 billion in exports against \$21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had “come back all the way” and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 20 July 2026

COMMODITIES, FOOD & AGRI

El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions



A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

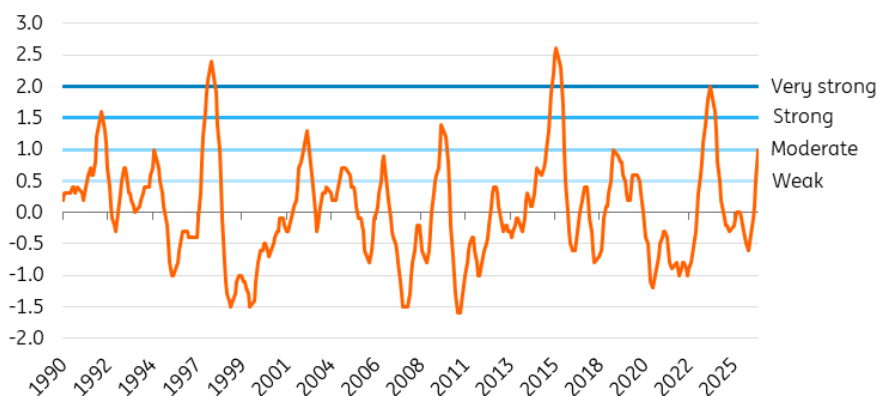
- At the company level, we'll see both short-term pain and short-term gain

Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as [recent developments highlight](#), this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

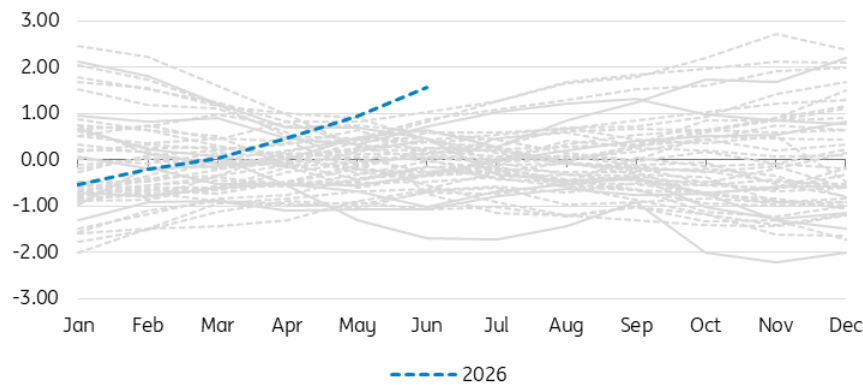


Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026



Source: NOAA, ING Research

A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, [including soybeans](#). Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been [fairly limited](#). Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20–30 years,

and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Corn	-3%	0%	3%	-4%	6%
Wheat	5%	-2%	0%	1%	0%
Soybeans	20%	6%	23%	-2%	5%
Rice	2%	-5%	-2%	-1%	1%
Palm oil	-4%	9%	4%	-5%	-1%
Sugar	1%	11%	7%	-7%	0%
Coffee	-6%	14%	-5%	-1%	3%
Cocoa	-1%	10%	1%	-6%	-13%

Source: USDA, ING Research

El Niño is only one of many factors shaping commodity prices

The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

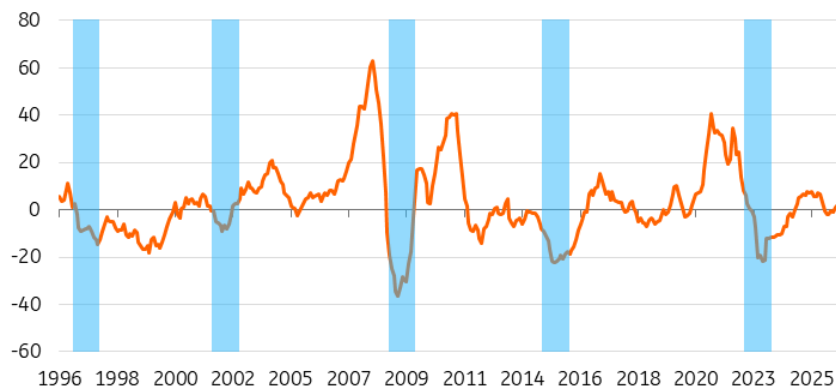
The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven [by factors other than El Niño](#), including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where

inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted



Source: United Nations FAO, ING Research

A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The [Asia-Pacific](#) region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

Asian aquaculture is already feeling the impact...

The potential impact on crops is receiving most of the attention. But one industry that's [heavily concentrated in Asia](#) and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to [a more than 75%](#) year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

...meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

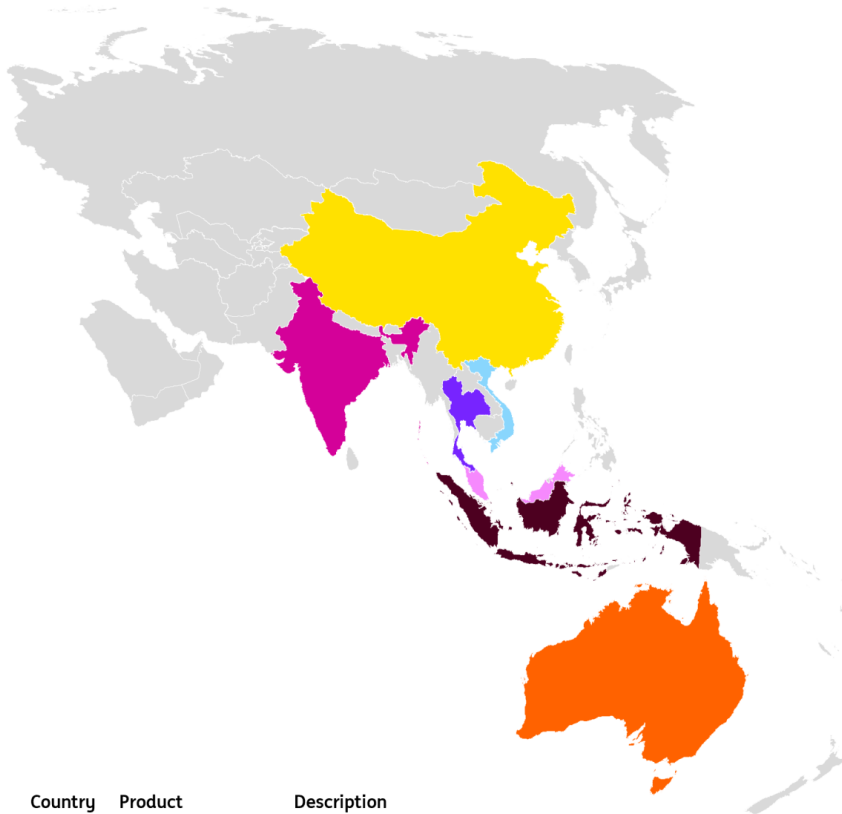
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Wheat	8%	-7%	5%	-3%	-2%
Corn	-15%	4%	-2%	5%	3%
Rice	2%	-6%	-2%	-1%	1%
Sugar	-3%	14%	4%	-9%	-13%
Palm oil	-5%	10%	4%	-6%	-1%

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

Rice, sugar, wheat, aquaculture and beef all exposed in APAC



Country	Product	Description
Australia	Wheat, sugar, beef, dairy	Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds.
China	Corn, sugar	Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts.
India	Rice, wheat, sugarcane	Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops.
Indonesia	Palm oil, rice	Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas.
Malaysia	Palm oil	Drier weather can reduce palm oil yields and raise plantation fire risk.
Thailand	Rice, sugar, aquaculture	Lower water availability can affect crop production and freshwater aquaculture.
Vietnam	Rice, aquaculture	Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture.

The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of [capacity in the Panama Canal](#).
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including [AMIS crop monitor](#), [Abares crop report](#)) and weather patterns (like Indian monsoon [rainfall](#)). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in [El Niño area](#)
- Anchovy landings in [Peruvian ports](#)
- Water reservoir levels (for example in India, [Thailand](#))
- Water levels in [the Mekong river at Kratie](#) in Cambodia
- Forest fires [in Indonesia](#)

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or

commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@asia.ing.com

Thijs Geijer

Senior Sector Economist, Food & Agri

thijs.geijer@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this

THINK economic and financial analysis

report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 20 July 2026

UNITED KINGDOM

How Andy Burnham could surprise UK markets

Britain's new prime minister's bold ambition is constrained by tight fiscal rules and a commitment not to raise major taxes. An understated Autumn Budget looks like the growing consensus. But don't rule out bigger plans on anything from capital investment to the fiscal rules – or, crucially, a snap general election



The prospect of Andy Burnham becoming prime minister was enough to unsettle UK markets just a few months ago. His arrival in Downing Street, by contrast, has triggered little reaction

Britain has a new prime minister

Two months ago, UK markets recoiled at the prospect of new Labour leader Andy Burnham becoming prime minister. Today, his arrival in Downing Street has been met with little more than a shrug.

Risk premium in the bond markets looks contained. Most investors I speak to don't expect him to rock the boat this year, even if there are concerns about the fiscal trajectory further ahead.

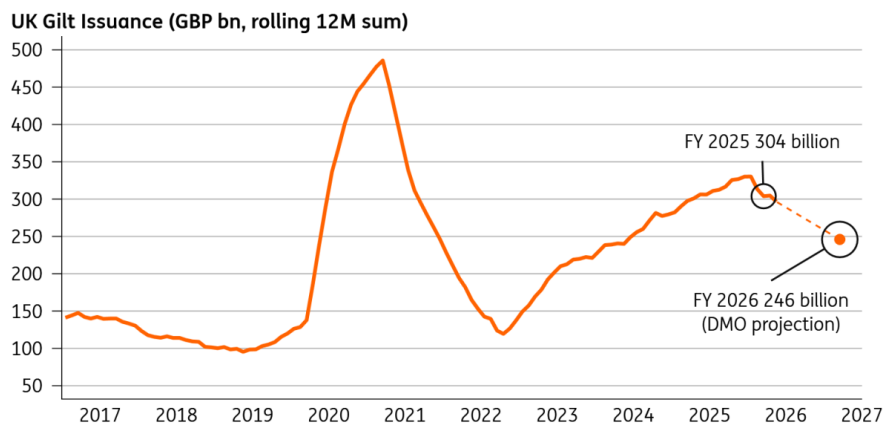
That thinking is understandable. Burnham's bold ambition towards everything from social housing investment to nationalisation is constrained by a commitment to stick to the fiscal rules and not raise the biggest taxes.

That tentatively points towards a relatively modest Autumn Budget. Expect a focus on policies that are as eye-catching as they are cheap and simple to implement.

Talk of plans to cut bus fares and lower taxes for hospitality is a case in point. As are proposals to shift a further share of policy costs from electricity bills onto general taxation, at a cost running into the low billions. That would conveniently coincide with a likely fall in the regulated energy price cap in October and would help push headline inflation lower at a time of heightened Bank of England sensitivity to price pressures.

Admittedly, those demands will run up against some thorny, unresolved issues from the Starmer era. Like the steep real-terms cuts to unprotected government departments planned for 2029, which will likely cost around £6bn in that year to reverse. Or the £4.7bn left unfunded in the recently announced Defence Investment Plan.

UK borrowing is set to fall sharply this year



Source: Macrobond, Debt Management Office, ING

But the truth is the numbers here are not huge – and can be accommodated in the fiscal rules. Burnham can thank outgoing Chancellor Rachel Reeves, whose long-planned changes to the fiscal framework are set to create roughly £16bn of additional borrowing room this autumn against the current budget rule. That should help offset some of the deterioration in the Office for Budget Responsibility's forecasts stemming from higher borrowing costs and lower migration assumptions.

Tax increases wouldn't necessarily need to be dramatic, either. Reeves considered a smorgasbord of tax hikes last autumn, many of which went unused – not least because they typically raise little cash and present major trade-offs. But together a handful of measures – covering banks to pensions – could help finance a modest fiscal easing.

In short: some extra spending, some tax rises, a modest increase in borrowing – but not enough to reverse a steep fall in gilt issuance this year. The Debt Management Office expects

to issue £246bn of bonds, down from £304bn in the last fiscal year. Britain is a rare example of an economy going through genuine fiscal tightening right now, a consequence of the ongoing freeze in tax thresholds.

This scenario isn't likely to change our call for the Bank of England to start cutting rates again in 2027.

So far, so boring. So how could Burnham surprise markets this autumn?

Big CapEx, tax reform or fiscal rule changes?

A boring budget doesn't win elections – nor does it square with Burnham's rhetoric about big change. So a much bolder budget clearly can't be ruled out. Uncertainty is high; detail on the new prime minister's budget plans is light.

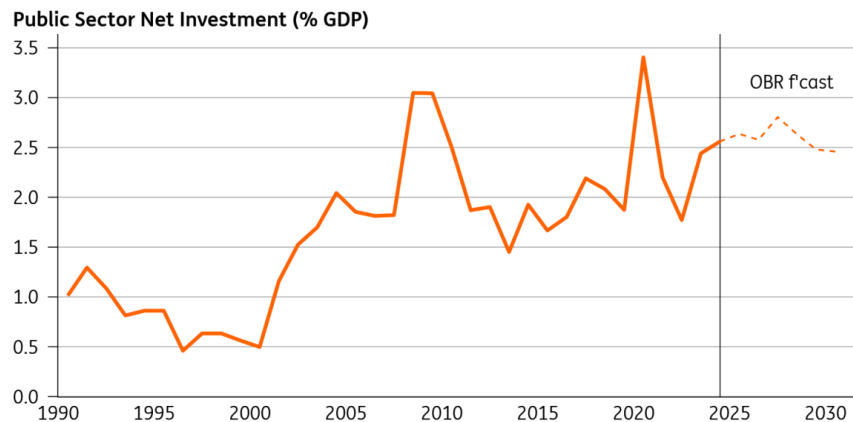
Don't forget that everyone expected Starmer's first budget to be dull. Then it ended up containing the [biggest fiscal stimulus](#) outside the pandemic since 2010.

Similar fireworks could come in five areas:

First, CapEx. Burnham wants to go big on social housing, but that's difficult under a rule dictating that net financial debt must start falling within three years. But the word “financial” is key; investment that involves an equity stake or loan would be treated more favourably, because they create financial assets as well as liabilities.

It's why we're hearing about new regional housing banks to finance social housing, or greater use of the [National Wealth Fund](#) to support infrastructure. Yet while these investment vehicles flatter the fiscal rules, they still usually require some upfront cash and therefore higher issuance – which ultimately is what markets are interested in. Thames Water and the push for greater public control will be an early test of ambition in this area.

Public investment as a share of GDP



Source: Macrobond, Office for Budget Responsibility, ING

Second, welfare reform. This is seen as totemic by many investors, even if the scope for material savings is very limited. Welfare spending accounts for a growing share of government expenditure. But Starmer's efforts to cut disability and pensioner benefits sparked huge backlash. Burnham has given little sign he wants to pick a fight over the Triple Lock, which sees the State Pension rise by the higher of inflation or earnings growth. But a surprise push here might be rewarded in lower gilt yields.

Third, tax reform. Property taxes aren't working – virtually everyone accepts that. And Burnham has indicated reform here will be a key focus. Proposals tend to focus on stamp duty – which is paid by buyers and is seen as a brake on housing transactions – and council tax, which is levied based on a property's value in 1991. This has become a key focus for proponents of a wealth tax.

Yet reform would be hugely contentious. What if you've just bought a house and risk being taxed twice? Revaluing council tax would also create huge winners and losers – but without necessarily raising any fresh cash. A lot of controversy for not much gain under the fiscal rules, with an election slowly coming into sight? It's why most expect efforts here to start with a further expansion of the so-called "mansion tax" being levied from 2028.

Then – fourth – there's tax more broadly. [Reports](#) this weekend hint that Burnham is open to raising the tax-free allowance for workers, a move that wouldn't come cheap. A 10% increase in the allowance, which has been frozen at £12,570 since 2021, would cost £11bn per year according to [Treasury calculations](#).

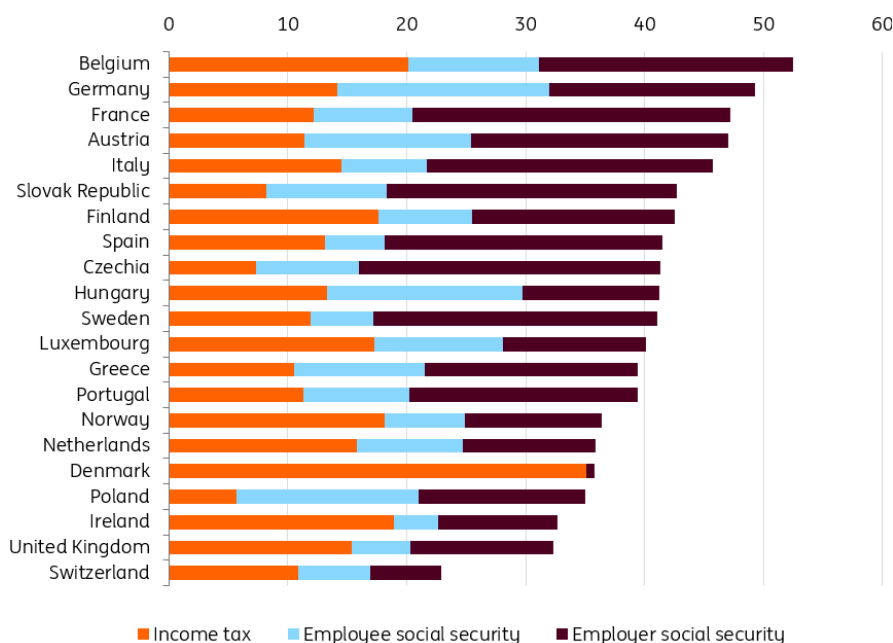
Much depends on the size of any increase and how it might be funded. Burnham might be drawn to the [Resolution Foundation's](#) proposed "tax switch": a 2ppt cut in National Insurance offset by a 2ppt rise in income tax. Because income tax has a broader base, this would raise about £6bn a year while leaving employee tax bills largely unaffected.

But even if the cost were mitigated, markets still probably wouldn't react kindly. Remember the freeze in tax thresholds is a major driver of lower borrowing this year and projected deficit reductions in the years ahead. Reversing course would cast doubt on the Treasury's commitment to those plans.

It would also shine a light on the combined income tax and National Insurance burden on the average worker, which is among the lowest in Europe according to the OECD. That's despite the UK's overall tax burden being at its highest level in decades.

Without difficult decisions on those major taxes – and set against the cacophony of fiscal challenges coupled with Labour's big ambitions – it's hard to see how the Treasury avoids relying more heavily on borrowing in the years ahead.

Tax rates as a share of labour costs for a worker on an average salary (%)



Source: OECD Taxing Wages 2026

Results based on a single individual without children earning the average wage

That brings us neatly to the final source of surprise: changes to fiscal rules. To us, this looks inevitable over the coming years, even if the widespread assumption is that it won't happen in 2026.

One option involves exempting defence spending or other investment from the fiscal rules entirely. The Treasury might fairly argue that investors would prefer that over borrowing on day-to-day spending. But more borrowing is more borrowing, however you look at it. And

markets would react accordingly.

Remember, investors don't care about the fiscal rules per se; they care about the level of issuance they imply.

But what if the surprise isn't the budget at all?

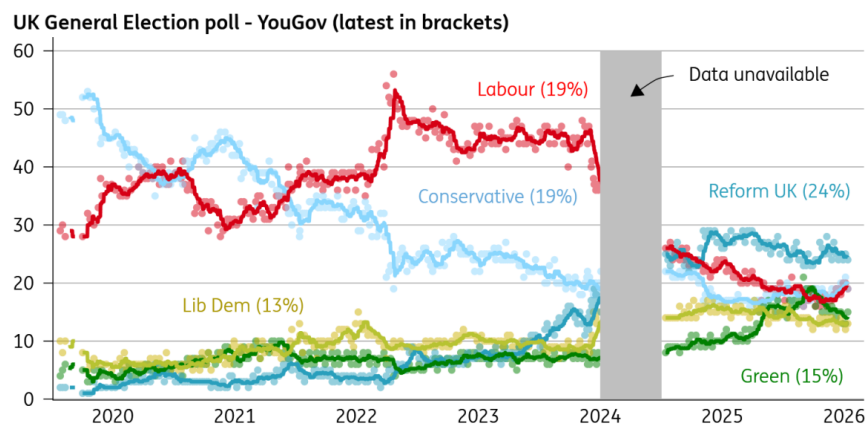
The wildcard: a snap election

A snap election is still the major wildcard. And markets probably wouldn't like it.

On paper, it looks highly unlikely. Why risk losing Labour's enormous 166-seat working majority at a time when the [polls suggest](#) the party would lose almost half its seats if an election were held tomorrow? Betting markets put the chances of a snap election at 15-20%.

Then again, Burnham won more than 50% of the vote in his new constituency of Makerfield a few weeks ago – a seat that would likely otherwise have been claimed by Nigel Farage's Reform UK. If that sentiment spreads into the national polls, then it's easier to see how Burnham might be tempted. Particularly when history tells us a new leader's popularity rarely goes up and usually goes down over time.

Reform lead the UK's opinion polls



Source: YouGov

It would fit a recent tendency of prime ministers to seek their own mandate. We saw it with Theresa May in 2017 and Boris Johnson in 2019. Yes, there are differences today (Johnson benefited from Brexit fatigue and Farage's then-Brexit Party standing aside at the election). But Burnham's team might also conclude his policy platform is only possible with a full five-year term to throw at it. It would almost certainly come at the cost of a smaller majority. But then we've seen with both Starmer and Johnson that huge landslides are no guarantee of eternal power within one's own party.

None of this comes without significant risk. May lost the Conservatives their majority in 2017 despite entering the campaign in a strong position in the polls. That's why an election is not our base case.

But the probability is perhaps higher than the betting odds imply. And a snap election probably wouldn't be received well by investors – assuming it could imply bolder borrowing plans if Labour resecured a majority, and policy paralysis if it didn't.

Author

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 30 July 2026

UNITED STATES

US GDP disappoints despite consumer resilience

The US economy expanded at a slower-than-expected 1.5% annualised rate in the second quarter, but the details highlighted a resilient consumer and ongoing strength in investment. Inflation numbers were also softer than anticipated, resulting in a further cooling in Federal Reserve interest rate hike expectations



Softer GDP growth and cooler inflation in the US suggest the Fed may not need to hike rates

1.5% Q2 US GDP growth

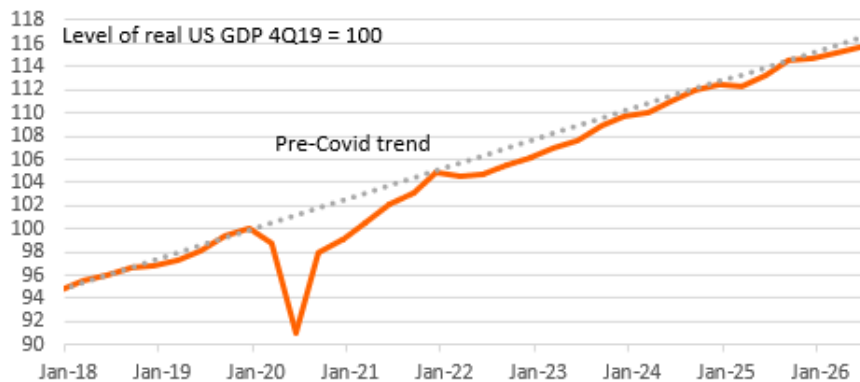
Lower than expected

Cooler growth and inflation weigh on rate hike expectations

Today's US macro data is, in general, softer than expected. Second-quarter GDP growth came in at just 1.5% annualised versus the 2% consensus (so pretty much matching the eurozone GDP growth number), while the core PCE deflator saw prices rising 0.1% month-on-month

versus the 0.2% expected. That combination of cooler activity and more modest near-term price pressures is helping to maintain the yield curve steepening trends set in motion by Federal Reserve Chair Kevin Warsh's press conference yesterday, while keeping the dollar on the back foot.

US real GDP levels back in line with the pre-Covid trend



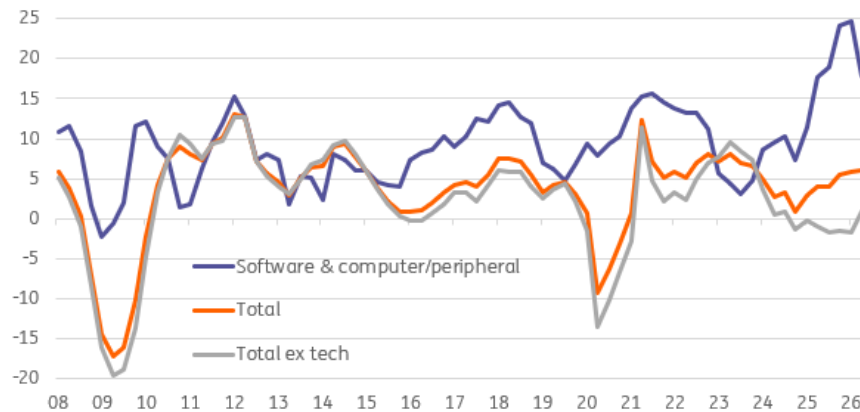
Source: Macrobond, ING

Details highlight strong domestic demand

That said, the GDP details look better than the headline suggests. There was a strong rebound in consumer demand with growth of 3.2% ann. versus 0.5% in Q1, but this did come at the cost of a further decline in the household savings ratio to just 2.7%.

Investment continues to grow nicely, with tech investment still leading the way, although non-tech business investment also showed renewed vigour. Even residential investment made a positive contribution after a torrid run. It was a run-down in inventories (subtracting 0.7ppt from the headline GDP growth rate) and a big jump in imports that proved big drags on growth – both tied to frenzied spending in the tech sector. Government spending fell by 0.8%, which is likely a legacy of the huge swings seen over the previous two quarters linked to the prolonged government shutdown late last year.

Non residential private fixed investment - tech versus non-tech (YoY%)



Source: Macrobond, ING

Inflation data shows improvement

The softer core PCE deflator is encouraging, offering further justification for the Fed's no-change decision yesterday. We will have major changes to the calculation methodology when the August print is published at the end of September, tied to the measurement of portfolio management fees, computer software and legal services, which could potentially subtract 0.2ppt from the year-on-year inflation rate.

In any case, we expect cooling housing costs and weak wage growth to help keep inflation in check, with tariff refunds being a major boost to corporate cash flow that mitigates cost pressures elsewhere. A de-escalation in the Middle East that yields lower energy prices would also amplify disinflationary trends through the second half of the year. As such, we still think the Federal Reserve's most likely course of action is a prolonged pause.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or

THINK economic and financial analysis

misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 30 July 2026

CZECH REPUBLIC

Czech National Bank preview: Stable rates amid uncertain times

Rising input costs and elevated uncertainty are weighing on economic performance, while inflation is unlikely to spiral out of control despite higher oil prices. With the economy operating below its potential and real interest rates still positive, an unchanged monetary policy setup is the best way forward. It's hard to gauge how much Hormuz will bite



The Czech National Bank in Prague

Meagre growth and higher unemployment are dark prodromes

We expect the CNB to leave the policy rate unchanged at 3.75% at its next meeting on Thursday 6 August, as the risks to economic activity linked to the Middle East war start to materialise. The recent escalation is likely to add further headwinds to economic activity.

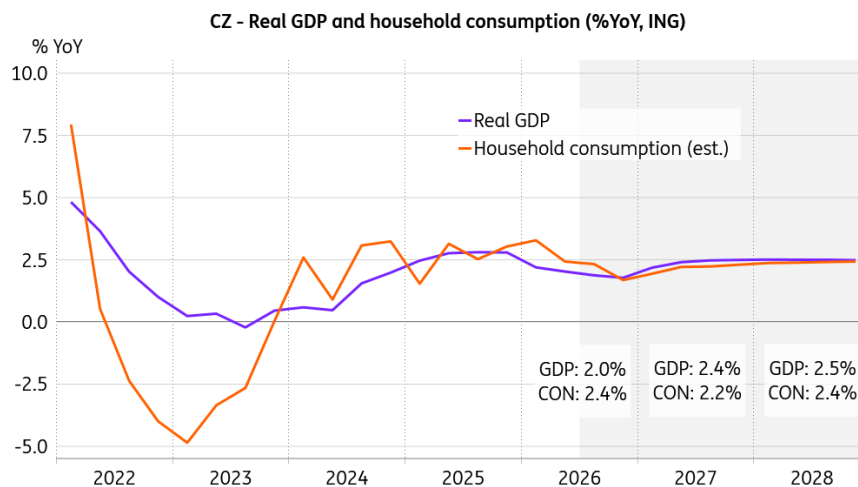
Rising input costs and elevated uncertainty are weighing on the global economy, which is bad news for Czech exporters. This geopolitical shock makes the near-term GDP outlook harder to predict.

Czech real GDP gained 0.4% QoQ in the second quarter of 2026, and rose by 2.0% YoY, which was below market expectations. Quarterly dynamics were positively influenced by final consumption expenditure and foreign trade, while gross capital formation had a negative

impact. We don't know yet whether it's about inventories or fixed investment, although fixed investment tends to be the first casualty of significant uncertainty.

The gross value-added quarterly gain was mainly supported by manufacturing; most service sectors also performed well. Employment rose by 0.2% QoQ and by 0.9% YoY in 2Q26. The general unemployment rate ticked up to 3.3% in June, according to the CZSO survey, moving further away from the lows recorded at the end of 2022.

Both real GDP and consumption set to slow down



Source: CZSO, ING, Macrobond

We see the softish reading as supporting our hypothesis that the turmoil in the Middle East will eventually take its toll on real activity. As with any negative supply shock, the initial impact comes through higher prices, while the drag on growth tends to emerge with a lag.

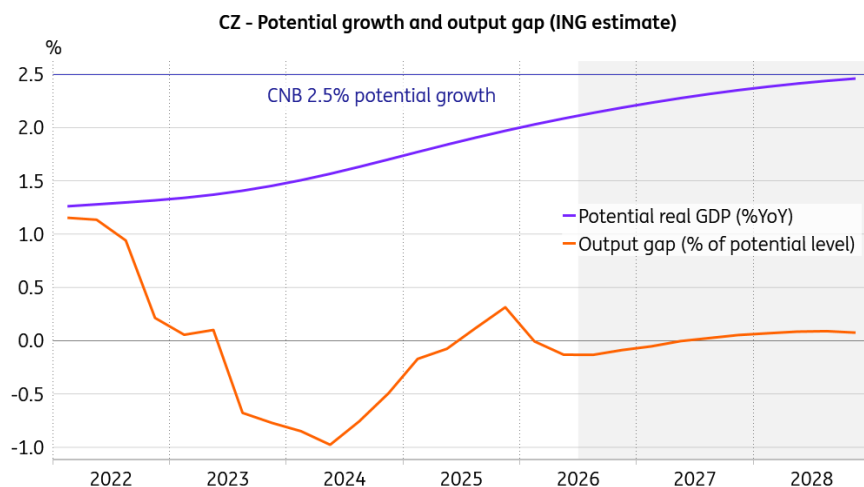
The direct price effects are relatively straightforward to quantify in terms of both magnitude and timing, while the impact on economic performance is trickier.

Economy slides below its potential

For instance, the estimates of adverse effects on activity are distorted by firms pre-stocking to avoid higher prices in the future and shield themselves against supply chain distortions. With that in mind, it still may be the case that 3Q26 will feel most of the impact.

The fact that an impact is delayed does not represent a relevant reason for complacency. Still, we maintain our forecast of Czech economic expansion at 2% for this year and 2.4% in 2027. However, we see downside risks to both forecasts, should the Hormuz conflict drag on or suggest more severe than expected distortions to the global economy.

Negative output gap suggests benign inflationary pressures



Source: ING, Macrobond

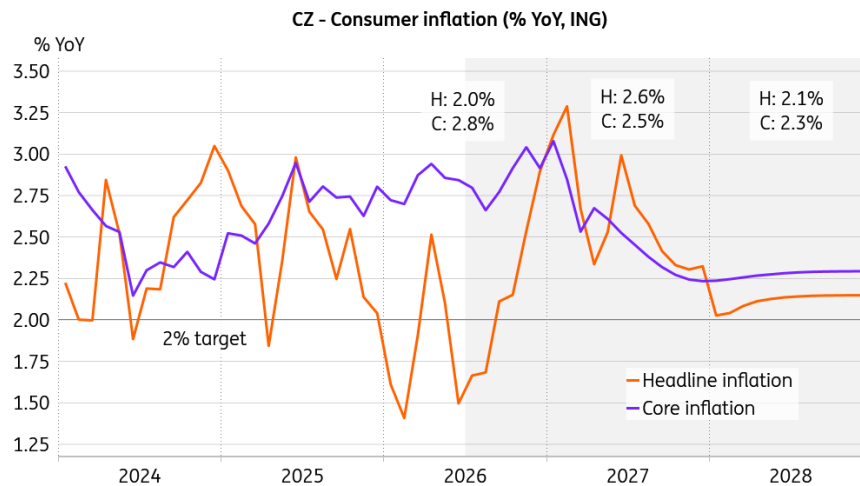
Private consumption seems able to withstand the heat for now, yet we must see the detailed GDP breakdown to make well-anchored conclusions. In any case, the first signals are becoming tangible: that elevated input costs, ample uncertainty, pressure on global demand, and the induced neck-breaking competition will affect Czech economic performance.

Our estimates suggest that the economy slides back into a negative output gap territory, operating below its full potential. This means that the overall price level does not tend to accelerate, implying no need for stricter monetary policy. The thing is that once consumers start hitting the brakes, softer demand will sooner or later affect the ability to raise prices.

Inflation to remain under control despite higher oil prices

Brent crude prices hovering around US\$90/bbl until October – our current assumption – does not suggest that either headline or core inflation will end up far away from the target on average for this year and the next. Both rates are about to briefly cross the 3% threshold, yet with a significant contribution of a low comparison base from a year earlier. With such a profile, price stability does not seem to be at risk now and on the relevant monetary policy horizon.

Base effects impact annual headline inflation



Source: CNB, ING, Macrobond

We expect July's headline inflation to increase to 1.7%, with a significant contribution from rising fuel prices.

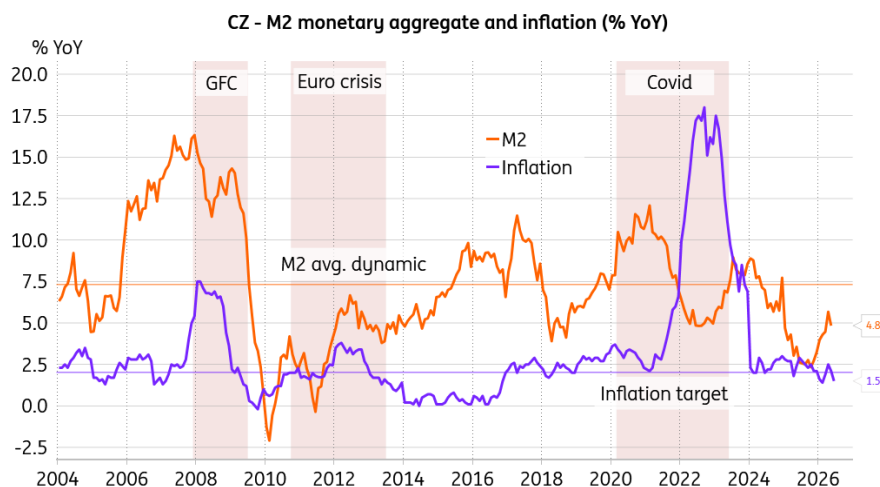
The government support in the form of a reduced excise tax on diesel and a cap on margins at fuel stations ended last week. Early fuel price surveys suggest that margins are rebounding sharply, although this assessment relies on a significant degree of judgement given the limited data available at this stage.

That said, fuel prices remain unusually volatile and could still surprise in either direction. For now, we expect annual core inflation to remain broadly stable at 2.8% in July.

Stable rates are the likely outcome

A booming housing market and ample credit dynamics may still be perceived as an issue to tackle through stricter monetary policy. However, the M2 monetary aggregate does not suggest that there is currently an excessive amount of money in circulation when compared to the historical average. In the labour market – maybe. Yet, the recent monthly data from industry point to a softening annual wage dynamic. Add the upward-trending unemployment rate from late-2022 along with the negative output gap, and you may get an impression that the labour market is getting rather relaxed.

M2 expansion below historical average

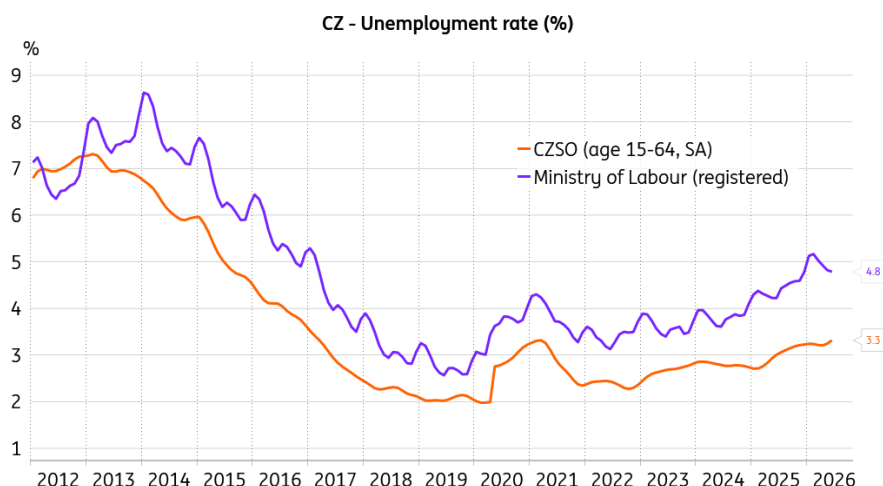


Source: CZSO, ING, Macrobond

We think most of the recent comments from members of the bank board support a long-term 'wait-and-see' approach. In fact, we believe that monetary policy should proceed with a fair amount of caution, given the heightened uncertainty and dampening effects on economic activity still likely to remain in the pipeline.

That means we assess today's real GDP and labour market readings as reasons for not tightening monetary policy conditions any further. Expect a not-so-scary inflation outlook, and an unchanged policy rate at 3.75%, as the most likely outcome for some time.

The Labour market seems to be relaxing



Source: CZSO, ING, Macrobond

The new CNB forecast is likely to show softer GDP growth compared to the previous outline,

and possibly a slightly lower inflation rate. With that, we expect a marginally lower trajectory for rates. Wages will be tricky due to the punchier 1Q26 reading than assumed, but at the cost of downward revisions in the previous two years. Considering the vote, this time we expect a unanimous vote for rate stability. Even the usual hawks such as Eva Zamrazilova and Jan Kubicek will likely be in favour of assessing the situation and not be hasty to an even tighter monetary setup right now. The interesting thing will be the level of hawkishness delivered in the press conference and later in the CNB minutes.

Our market views

Following the June rate hike, markets view the CNB as the most hawkish central bank in EMEA, with CZK rates also showing the highest sensitivity to oil prices. In recent days, market pricing has moved from 90bp of additional tightening to around 55bp. This remains well above our forecast for no further hikes, and we think markets could price out more tightening after next week's CNB meeting if oil prices stabilise or fall from current levels. At the same time, we expect markets to keep one additional hike priced in for longer as a hedge against a sudden shift in the CNB's tone. The August forecast should also show a slightly more favourable inflation picture than in May, given repeated downside surprises in headline inflation and signs of weaker economic activity. This should ease market concerns about further hikes, even if the CNB is likely to keep the option of one more hike on the table.

Elevated rate-hike expectations and market pricing have helped keep the koruna stable relative to CEE peers. However, as rate-hike expectations are gradually priced out, the koruna could become an underperformer if a weaker US dollar continues to support EM currencies. That said, the repricing alone is unlikely to significantly undermine CZK strength, and we expect EUR/CZK to stabilise around 24.250 next week. On rates, we expect the front end of the curve to price out one hike while keeping one hike in the curve for now. The curve has already steepened somewhat, and the long end remains high given very low inflation. Looking ahead, we therefore expect yields to decline across the curve rather than see further steepening, unless geopolitical risks re-escalate.

Author

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 30 July 2026

RATES SPARK

Rates Spark: The Fed holds and the long end gets nervous

The Fed held rates steady, and whilst 2Y rates gapped lower, the long end popped higher. Longer UST yields will remain vulnerable and the 10Y could move toward 5% again. Next in line is the Bank of England, and while we disagree with the hawkish positioning of markets, taking the opposite position remains difficult given the tight correlation with oil



The Federal Reserve kept rates on hold, but with three dissenters, the next move in September could be a rate hike

Chair Warsh does little, but actually with big effect

The gap lower in the 2yr yield following the unchanged decision was quite striking, illustrating that a decent rump of the market had indeed positioned for a possible hike. And even though the statement added very little, some of the steam has been taken out of the rate hike risk talk. That said, we'll likely do it all again in September. The path of least resistance for the rate discount remains a build towards a hike. That's the trade. But ultimately we don't think the Fed will hike, barring a significant escalation in the Iran war.

Longer dates have not taken the unchanged outcome well, with the long bond yield up and touching 5.2% at one point. Interesting that Chair Warsh noted this and the rise in real yields as the market is doing some tightening for the Fed. There is an implied acknowledgement here

that if the Fed were to move right now, it would more likely be a hike than a cut. Minimal talk for now is the preferred strategy, helped by the five task forces out doing their due diligence on how the Fed operates. Unless something big gives, waiting for the completion of this process is the baseline preference.

We view long yields as remaining vulnerable to the upside ahead, with real yields being a driver. We doubt the 10yr yield tops 5%. That's a red line for the Treasury. One that would likely be resisted. But an edge in that direction is entirely conceivable in the coming weeks (and perhaps months). We still think the front end is the safer place to be, on a short duration preference.

Hard to push against hawkish Bank of England pricing

The Bank of England is next in line, but similar to market pricing, [we don't anticipate any change](#) to the policy rate at today's meeting. Markets continue to be relatively hawkish when it comes to the UK, much more than we think is justified based on macro dynamics. But even if you disagree with current pricing, taking a bullish position will quickly burn you on the back of oil volatility. Compared to USD and EUR rates, sterling rates are particularly sensitive to oil price swings. For every \$10 move higher in oil, markets add some 20bp of expected BoE tightening.

Interestingly, the correlation between 2Y sterling swap rates and oil actually seems to have increased over the past month. One could point out the non-linearities inherent in inflation expectations. The Bank of England identifies 4% inflation as particularly worrisome when it comes to second-round inflation risks. The 2Y inflation swap is close, at around 3.9%. Having said that, GBP inflation swaps are not a perfect measure of inflation expectations, but in this case still illustrate why UK rates might be more nervous than peers.

Looking ahead, we don't expect the Bank of England to hike at all, and even though we might see more votes for hikes, the doves will likely keep a majority. With markets already positioned for significant tightening, we doubt a hawkish tilt in voting behaviour will be able to push markets much. Markets already see close to 70bp of hikes over the next 12 months, which looks stretched considering the policy rate is already well above neutral at 3.75%.

Thursday's events and market view

A busy day for markets. From the eurozone, we'll first receive some country CPI figures for July, which will be closely watched in anticipation of the eurozone aggregate number on Friday. We will also receive the second quarter eurozone GDP estimate, but keep in mind the headline numbers can be distorted due to Ireland. Also, eurozone economic confidence indicators will be of interest, although given these don't fully incorporate the latest Middle East escalation, they may be too optimistic.

From the US, we have personal income and spending figures, which should shed more light on the strength of the American consumer. Also, the core PCE deflator could be of interest. The consensus sees a 0.2% month-on-month reading, but with a bias towards 0.1%. Lastly, we have the second-quarter GDP estimate from the US.

Germany will auction €6bn 10y Bunds. The US will auction a new 2y FRN with a total size of \$30bn.

Author

Padhraic Garvey, CFA

Regional Head of Research, Americas
padhraic.garvey@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.